

Short Questions:**Q1. Explain PQLI (physical quality life index) as Basic Indicator of Development.**

The Physical Quality of Life Index (PQLI) is a simple way to measure how well people in a country are living. It looks at three basic things:

1. **Life Expectancy at Age One:** How many years people are likely to live after their first birthday.

$$\text{Life Expectancy Index} = \frac{\text{Actual Life Expectancy} - \text{Minimum Life Expectancy}}{\text{Maximum Life Expectancy} - \text{Minimum Life Expectancy}} \times 100$$

Example:

If a country has a life expectancy of 65 years:

$$\text{Life Expectancy Index} = \frac{65 - 38}{77 - 38} \times 100 = 69.23$$

2. **Infant Mortality Rate:** How many babies die before their first birthday out of every 1,000 born.

$$\text{IMR Index} = \frac{\text{Maximum IMR} - \text{Actual IMR}}{\text{Maximum IMR} - \text{Minimum IMR}} \times 100$$

Example:

If a country has an IMR of 50:

$$\text{IMR Index} = \frac{229 - 50}{229 - 7} \times 100 = 80.63$$

3. **Literacy Rate:** The percentage of adults who can read and write.

$$\text{Literacy Rate Index} = \text{Actual Literacy Rate}$$

Example:

If a country has a literacy rate of 85%:

$$\text{Literacy Rate Index} = 85$$

Calculation of PQLI:

$$\text{PQLI} = \frac{\text{Index of Infant Mortality} + \text{Index of Life Expectancy} + \text{Index of Literacy}}{3}$$

$$\text{PQLI} = \frac{80.63 + 69.23 + 85}{3} = 78.29$$

Why is it important?

It focuses on basic needs like health and education, not just money or wealth.

It shows how well a country is taking care of its people.

It is easy to compare between countries or regions.

Q2. Why Study Development Economics? Explain.**1. Understand Poverty**

It helps us understand why some people are poor and what can be done to improve their lives.

2. Improve Living Conditions

The main goal is to find ways to give people better access to food, clean water, schools, jobs, and healthcare.

3. Make Better Policies

It gives ideas for governments and organizations to make plans that help people, like creating more jobs or building schools and hospitals.

4. Grow Economies

Development economics studies how to make countries richer and create more opportunities for everyone.

5. Protect the Environment

It helps us find ways to grow without harming nature, so future generations can also have a good life.

6. Reduce Inequality

It works to close the gap between rich and poor countries and between different groups of people within a country.

Q3. Elaborate the Big Push theory.

1. **Large Investments:** The theory says that poor countries need a lot of money to start growing their economies.
2. **Simultaneous Development:** Multiple areas like industry, agriculture, and services need to be developed at the same time.
3. **Infrastructure:** Building roads, schools, hospitals, and other infrastructure is important.
4. **Government Role:** The government should play a big part in planning and investing in the economy.
5. **External Aid:** Help from other countries or international organizations can be useful.
6. **Economies of Scale:** Large-scale production can lower costs and improve efficiency.

Q4. Role of Health in development.

1. **Productivity:** Healthy people can work more efficiently and effectively, leading to increased productivity.
2. **Workforce:** A healthy population ensures a stable and reliable workforce, reducing absenteeism and increasing output.
3. **Education:** Healthy kids can go to school regularly and learn more, becoming smart workers in the future.
4. **Save Money:** Being healthy means spending less money on doctors and medicine, so you can use that money for other important things.
5. **Attract Investment:** Healthy people attract companies to invest in a country because they want strong workers.
6. **Fight Poverty:** Good health helps people get out of poverty by allowing them to work and earn money.

Q5. Discuss Underdevelopment as a Coordination Failure.

1. **Working Together:** Different parts of the economy like farming, factories, and services need to grow together. If one part does not grow, it can slow down the others.
2. **Connections:** Important links, like roads and communication, need to be in place. If they are missing, it makes it hard for people to do business.
3. **Government Help:** The government needs to make good plans and use money wisely to help the economy grow.
4. **Basic Needs:** Schools, hospitals, and roads are needed by everyone. Without them, development is slow.

5. **Market Issues:** Sometimes, markets do not work well on their own. If people do not trust banks, they will not save or invest money.

Q6. Discuss the concept of Dualistic Development.

1. **Traditional Sector:** This part of the economy usually includes agriculture and small-scale businesses. It often uses old methods and has low productivity.
2. **Modern Sector:** This part includes industries, technology, and services. It uses advanced methods and has high productivity.
3. **Income Gap:** There is usually a big difference in income between people working in the traditional sector and those in the modern sector. This creates inequality.
4. **Urban and Rural Divide:** The traditional sector is often found in rural areas, while the modern sector is in urban areas. This creates differences in lifestyle and opportunities.
5. **Migration:** People often move from rural areas to urban areas in search of better jobs and living conditions.
6. **Government Help:** The government can help by investing in both parts and supporting the old part to grow.

Long Questions:

Q1. Discuss Economic Characteristics of High-Poverty Groups in detail.

1. **Low Income:** People in high-poverty groups usually earn very little money, making it hard to afford basic needs like food, housing, and healthcare.
2. **Unemployment:** High-poverty groups often have higher rates of unemployment or underemployment, meaning they either don't have jobs or have jobs that don't pay well.
3. **Lack of Education:** Many people in high-poverty groups have limited access to education, which makes it harder for them to find good jobs and improve their economic situation.
4. **Health Issues:** Poor health is common in high-poverty groups due to lack of access to healthcare, nutritious food, and clean-living conditions.
5. **Housing:** People in high-poverty groups often live in inadequate housing conditions, such as overcrowded or unsafe homes.
6. **Limited Resources:** High-poverty groups have fewer resources, such as savings, assets, or access to credit, which makes it difficult to invest in their future or handle emergencies.
7. **Social Problems:** They may face discrimination and social exclusion, limiting their opportunities.
8. **Dependence:** Many rely on government help or charity to meet their basic needs.
9. **Weak Safety Nets:** They are more affected by problems like job loss or natural disasters because they have fewer protections.
10. **Geographical Concentration:** High-poverty groups are often concentrated in specific areas, such as rural regions or urban slums, which can limit their access to opportunities and services.

Q2. Explain the Consequences of High Fertility: Discuss Some Conflicting Perspectives.

Consequences of High Fertility

1. **Overpopulation:** More people can lead to overcrowded cities, schools, and hospitals.
2. **Resource Strain:** More people mean more demand for food, water, and energy, which can lead to shortages.
3. **Economic Pressure:** More people can strain the economy, making it harder to provide jobs and services for everyone.
4. **Health Issues:** High fertility can lead to health problems for mothers and children, especially if healthcare is limited.
5. **Environmental Impact:** More people can lead to more pollution and deforestation, harming the environment.

Conflicting Perspectives

1. **Positive View:** Some people believe high fertility can lead to a larger workforce, which can boost the economy and support an aging population.
2. **Negative View:** Others argue that high fertility can strain resources and services, leading to poverty and environmental damage.
3. **Cultural Perspective:** In some cultures, having many children is seen as a sign of wealth and success, while in others, it's seen as a burden.
4. **Economic Perspective:** Economists might have different views on whether high fertility is good or bad for economic growth, depending on the country's situation.

Q3. Discuss the Political Economy of Educational Supply and Demand in detail.

1. **Government Decisions:** The government decides how much money to spend on schools and what kind of schools to build. This affects how many schools we have and how good they are.
2. **Money for Schools:** Schools need money to run. This money comes from taxes, donations, and other places. Without enough money, schools can't be good.
3. **Enough Teachers:** We need enough teachers to teach students. The government and schools have to make sure there are enough teachers.
4. **Students Wanting Education:** The number of students who want to go to school affects how many schools and teachers we need. More students mean more schools and teachers are needed.
5. **Quality of Schools:** Good schools attract more students. If schools are good, more students will want to go there.
6. **Economic Growth:** Good education helps the economy grow. Educated people can get better jobs and help the economy.
7. **Social Improvement:** Education helps people move up in society. It gives them skills for better jobs and better lives.
8. **Global Changes:** The global economy can affect education. For example, if a country needs more skilled workers, it might invest more in education.

Short Questions:**Q1. Discuss human development Index.**

Definition: The HDI measures the overall development and well-being of people in different countries. It looks at three main aspects:

Life Expectancy: Measures the average number of years a person is expected to live.

Education: Average years of education for people aged 25 and older. Number of years of education expected for a child starting school.

Income: Gross National Income (GNI) per capita, adjusted for purchasing power parity (PPP).

Categories of HDI

- **Very High:** 0.800 and above
- **High:** 0.700 to 0.799
- **Medium:** 0.550 to 0.699
- **Low:** Below 0.550

Importance

- Provides a more complete view of development than just economic growth.

Criticisms

- Simplifies complex issues to one number.
- Doesn't consider income inequality.
- Ignores other factors like political freedom and environment.

Q2. How unbalanced growth theory differs from balanced growth theory?**Balanced Growth Theory**

1. **Simultaneous Development:** This theory suggests that all sectors of the economy should grow at the same time.
2. **Coordinated Investment:** Investment should be spread across various sectors to support each other and create overall growth.
3. **Holistic Approach:** It believes that developing multiple sectors together will lead to a stable and sustainable economy.

Unbalanced Growth Theory

1. **Focus on Key Sectors:** This theory suggests focusing investment on specific sectors that have the most potential to drive growth.
2. **Strategic Investment:** Investment is concentrated in a few key areas to create opportunities and spill-over effects for other sectors.
3. **Targeted Approach:** It believes that by developing key sectors first, other sectors will follow and benefit from the growth.

Q3. Critically evaluate Lewis model of surplus labor.

1. **Surplus Workers:** There are too many workers on farms with low productivity.
2. **Move to Industry:** Extra workers move to factories where they are more productive.
3. **Higher Wages:** Factory jobs pay more, attracting workers to move.
4. **Economic Growth:** This shift leads to higher overall economic growth.

Criticisms

1. **Unlimited Labor:** Assumes extra workers always available.
2. **Skills Needed:** Doesn't consider education/skills.
3. **Wage Changes:** Farm wages can increase.
4. **Other Issues:** Ignores land and infrastructure problems.
5. **Environment:** Doesn't consider environmental costs.

Long Questions:

Q1. What is the difference between economic development and economic growth? Explain key indicators of economic development.

Economic Growth:

- Refers to the increase in a country's output of goods and services.
- Measured by the rise in Gross Domestic Product (GDP) or Gross National Product (GNP).
- Focuses mainly on quantitative improvement.
- Short-term perspective.

Economic Development:

- A broader concept involving improvements in living standards, reduction in poverty, inequality, and unemployment.
- Encompasses economic growth along with qualitative improvements like education, healthcare, and infrastructure.
- Long-term perspective.

Key Indicators of Economic Development

1. **GDP per capita:** Measures the average income per person, indicating the economic prosperity and living standards.
2. **Human Development Index (HDI):** Combines life expectancy, education, and per capita income indicators to assess the social and economic development.
3. **Poverty Rate:** The percentage of the population living below the national poverty line.
4. **Literacy Rate:** The percentage of people who can read and write, reflecting the education level in the country.
5. **Unemployment Rate:** The percentage of the labor force that is unemployed and actively seeking employment.
6. **Life Expectancy:** Average number of years a person is expected to live, reflecting the overall health conditions.
7. **Access to Basic Services:** Availability of clean water, sanitation, healthcare, and electricity.

Q2. Discuss Rostow's stages of economic growth.

Rostow's theory explains how countries grow and develop over time, moving through five stages:

Traditional Society

- The economy is mainly based on farming. Technology and social systems are simple and static.
- **Example:** Early agricultural communities.

Pre-Conditions for Take-Off

- The country starts to develop. Investments in infrastructure, like roads and schools, begin.
- **Example:** Countries starting to build railways and educational systems.

Take-Off

- Rapid growth happens. The economy shifts from farming to manufacturing.
- **Example:** Countries during the early industrial revolution.

Drive to Maturity

- The economy diversifies and modernizes. Technology improves, industries grow, and living standards rise.
- **Example:** Nations with expanding industries and advanced technologies.

Age of High Mass Consumption

- High levels of consumer spending drive the economy. The service sector thrives.
- **Example:** Developed countries like the United States with high incomes and consumption rates.

Q3. Explain debt cycle theory and any two conventional solutions to debt difficulties.

Debt Cycle Theory:

Debt cycle theory explains how countries or individuals can get trapped in a recurring pattern of borrowing, which leads to mounting debt and economic instability. The cycle generally progresses in these stages:

1. **Borrowing for Growth:** Borrowing starts to finance investments or growth.
2. **Debt Accumulation:** As interest payments grow, more borrowing is needed to pay off old debt or cover deficits.
3. **Debt Burden:** High debt levels reduce resources for productive activities, causing slower growth or stagnation.
4. **Crisis:** The inability to pay off debt leads to defaults or financial crises.

Solutions to Debt Difficulties

1. Debt Restructuring

- **Description:** Changing the terms of the debt to make it easier to pay.
- **How it Helps:** This can include giving more time to pay, lowering the interest rate, or turning debt into something else like ownership. It makes the debt easier to manage and lowers the immediate burden.

2. Debt Consolidation

- **Description:** Combining multiple debts into one single loan with a lower interest rate.

- **How it Helps:** This makes it simpler to pay and can reduce the overall interest. It usually results in lower monthly payments and helps manage finances better.

Short Questions:

Q1. Explain purchasing power parity as measurement of economic development.

Purchasing Power Parity (PPP) compares the cost of the same items in different countries to see how far money goes.

1. **Basic Idea:** If a basket of goods costs \$100 in the US and 10,000 rupees in India, \$1 is equal to 100 rupees.
2. **Living Standards:** It shows how much people can buy with their money in different countries.
3. **Economic Comparison:** Helps compare the strength of economies by considering the cost of living.

Q2. Governance Index

- **Purpose:** Assesses the quality of governance in a country.
- **Components:**
 1. **Political Stability:** Measures the likelihood of political instability and violence.
 2. **Government Effectiveness:** Assesses the quality of public services and the capacity of the government.
 3. **Regulatory Quality:** Evaluates the ability of the government to formulate and implement sound policies.
 4. **Rule of Law:** Measures the extent to which agents have confidence in and abide by the rules of society.
 5. **Control of Corruption:** Measures the extent to which public power is exercised for private gain.

Q3. Explain demand side vicious circle of poverty and also critically evaluate it.

Demand-Side Vicious Circle of Poverty is a theory that explains how low income and poverty reinforce each other, making it difficult for individuals or economies to break out of poverty. Here's a simple explanation:

1. **Low Income:** People or economies with low income have limited purchasing power.
2. **Low Demand:** With low purchasing power, demand for goods and services is low.
3. **Low Investment:** Low demand leads to low investment in businesses and infrastructure.
4. **Low Productivity:** Without investment, productivity and economic growth remain low.

Evaluation:

- **Strengths:** Shows how low income leads to continued poverty.

- **Limitations:** Too simple, ignores other factors like education, politics, and external influences.

Q4. What are the causes of poverty in developing countries?

Lack of education

When families can't afford to send their children to school, they may have to work to support their families.

Population growth

When the population grows faster than resources, it can lead to poverty.

Poor health

Poor health systems, especially for mothers and children, can contribute to poverty.

Economic conditions

Negative economic conditions, high cost of living, and limited job growth can lead to poverty.

Social barriers

Social barriers, such as inequality and marginalization, can leave people without a voice or representation.

Long Question:

Q1. Explain Fei-Ranis model

The Fei-Ranis model explains how an economy can shift from being primarily agricultural to more industrial. Here's a straightforward summary:

1. **Two Parts:** The economy is split into two sectors: agriculture (farming) and industry (factories).
2. **Extra Workers:** Agriculture has more workers than needed, so some can move to industry without affecting farm output.
3. **Industrial Growth:** These extra workers move to the industrial sector, which grows, becomes more productive, and pays higher wages.
4. **Reinvesting Profits:** Profits from industry are reinvested, leading to further growth.
5. **Balanced Economy:** When all surplus agricultural labor is absorbed, wages in agriculture rise, and the economy balances out between the two sectors.

Q2. Discuss classical model of economic growth and its limitations.

Classical Model of Economic Growth

1. **Focus on Factors:** The model looks at how labor, capital (like machinery), and technology work together to produce economic output (GDP).
2. **Population Growth:** More people mean more workers, which leads to more economic growth.
3. **Investment:** Saving money is important because it can be invested in businesses, leading to more production and growth.
4. **Technology:** Technological improvements help make workers more productive and drive long-term growth.

Limitations

1. **Assumes Perfect Competition:** The model assumes all markets are perfectly competitive, which isn't always true.
2. **Fixed Technology:** It often assumes technology doesn't change in the short run, which isn't realistic.
3. **Ignores Human Capital:** It doesn't consider the importance of education and skills in driving growth.
4. **Diminishing Returns:** It assumes that adding more capital leads to less additional output, which may not always be true with modern technology.
5. **Population Growth Assumption:** It assumes population growth always responds positively to higher wages, which isn't the case in many developed countries.
6. **No Externalities:** It doesn't account for external factors like environmental impacts.

